REPORTABLE

IN THE SUPREME COURT OF INDIA
CRIMINAL APPELLATE JURISDICTION

CRIMINAL APPEAL NO. 2650 OF 2023
(Arising out of SLP (Crl.) No. 7019 of 2023)

ARUNODAYA CREDIT COOPERATIVE SOCIETY LTD. & ORS. ...APPELLANT(S)

VERSUS

STATE OF UTTAR PRADESH & ANR. ...RESPONDENT(S)

J U D G M E N T

TARUN V. KHANDPUR, J.

1. Leave granted.

2. The appellants, who are the accused persons in a case registered for offences under Sections 406, 409, 420, 467 and 471 of the Indian Penal Code, 1860, assail the judgment of the High Court of Judicature at Allahabad declining to quash the proceedings under Section 482 of the Code of Criminal Procedure, 1973 ("CrPC") in spite of a settlement entered into with the complainant.

3. The prosecution case is that the appellants, office-bearers of a co-operative credit society, misappropriated about Rs.74 crores of deposits and caused loan sanctions against forged documents. The complainant is a depositor who has been compensated under the settlement.

4. The question is whether, and in what circumstances, non-compoundable offences involving financial or economic wrongdoing can be quashed under Section 482 of the CrPC on the basis of a settlement.

5. This Court has held in a line of decisions that the inherent power under Section 482 is not limited by Section 320 of the CrPC and may be exercised to secure the ends of justice. The Court must have regard to the nature and gravity of the offence, the conduct of the accused, the stage of the proceedings and the effect of quashing on society.

SYNTHETIC TEST FIXTURE - fictional case generated for BenchSplit; not a real judgment

6. There can be no inflexible rule; offences of a financial or economic nature that have a serious impact on society are ordinarily not to be quashed merely on the basis of a settlement, whereas disputes which are overwhelmingly commercial or civil in character, notwithstanding the presence of criminal colour, may be quashed where the parties have settled and the continuation of the proceedings would be an exercise in futility.

7. The present case concerns the alleged misappropriation of public deposits to the tune of Rs.74 crores. A settlement with one depositor cannot be a ground to terminate the prosecution. The High Court was right in declining to quash the proceedings. The appeal is dismissed.

.....J.
[RAGHAVENDRA N. SESHADRI]

.....J.
[S. P. VENKATACHALAM]

.....J.
[TARUN V. KHANDPUR]

NEW DELHI;
NOVEMBER 21, 2023.

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